



March 15, 2025

Submitted via email

Faisal D'Souza
National Science Foundation
2415 Eisenhower Avenue
Alexandria, VA 22314

Subject: AI Action Plan

Dear Mr. D'Souza:

We appreciate the opportunity to provide input on the development of an Artificial Intelligence (AI) Action Plan as outlined in the Federal Register notice ([90 FR 9088](#)) and pursuant to President Trump's Executive Order issued on January 23, 2025.

Background

Pair Team is a public benefit corporation and AI-native digital health startup specializing in value-based care management for high-need, high-cost populations in Medicaid and Medicare. With decades of experience in technology and healthcare, we identify, engage, and manage individuals whose complex needs drive significant healthcare utilization. Leveraging AI, we pinpoint patients who would benefit most from intervention and empower care teams to address both medical and social drivers of health—ultimately delivering improved health outcomes and substantial cost savings for payers.

Our data demonstrates significant improvements in chronic disease management and mental health:

- **Diabetes control:** The percentage of patients with poorly controlled diabetes drops from 63% at enrollment to 30% within six months.
- **Blood pressure control:** Controlled blood pressure rates improve from 50% at enrollment to 67% post-enrollment.
- **Depression remission:** 57% of patients with depression experience remission within six months.

Additionally, our program generates meaningful cost savings for both Medicare and Medicaid programs:

- Up to \$25,000 in annual savings per dual-eligible (Medicare/Medicaid) beneficiary.
- Up to \$15,000 in annual savings per Medicaid-only beneficiary.
- 52% reduction in emergency department visits.
- 26% reduction in inpatient admissions.

Opportunity

The National Bureau of Economic Research (NBER) estimates that AI could generate \$200–\$360 billion in annual healthcare savings. The potential for AI to enhance cost-effectiveness in Medicare and Medicaid far surpasses any prior technological advancement. AI-driven solutions can streamline administrative functions, enhance patient engagement, and improve fraud detection—positioning AI as a crucial tool for cost reduction and system efficiency.

However, Medicare and Medicaid’s ability to leverage AI has been hampered by outdated administrative systems, limited integration with emerging technologies and risk aversion on the part of payers across the system. As healthcare and social services evolve to meet complex needs, the urgency to incorporate AI and generative AI (GenAI) into Medicare and Medicaid has never been greater. These technologies offer a transformative opportunity to address non-medical health needs, improve service delivery, and expand access to care for communities across the country.

While AI’s potential is vast, its implementation must be thoughtful, responsible, and community-centered. Yet, the risks of inaction are even greater. Modernizing Medicare and Medicaid through AI is imperative to closing care gaps and improving health outcomes. Below, we offer concrete recommendations for integrating AI and GenAI into these programs at scale.

Recommendations

1. Prioritize AI Deployment in Medicare & Medicaid

The Centers for Medicare & Medicaid Services (CMS) within the U.S. Department of Health and Human Services (HHS) should launch a Request for Innovations, inviting industry proposals on AI-driven solutions for Medicare and Medicaid. This initiative would catalyze innovation, surface impactful technologies, build market trust and drive efficiencies in administrative, clinical, and operational workflows. CMS should also establish a dedicated AI Accelerator Program to support pilot programs, fund promising AI applications, and scale solutions that demonstrate measurable improvements in cost and quality outcomes.

2. Encourage State-Level AI Implementation

CMS should issue a State Medicaid Directors Letter (SMDL) encouraging states to explore AI applications for various Medicaid use cases. Establishing AI Innovation Labs at the state level—through public-private partnerships—would help test AI-driven

interventions, measure effectiveness, and scale best practices nationwide. These efforts could focus on key areas such as the development of AI-enabled medical groups, predictive analytics for high-risk patients, automating administrative processes, and improving population health management. Additionally, CMS should provide grant funding and technical assistance to states willing to invest in AI-driven transformation efforts.

3. Foster a Measured Regulatory Approach

While it is essential to establish frameworks for ethical AI deployment, excessive regulation could stifle innovation. HHS should adopt a measured regulatory approach, ensuring AI solutions are safe without imposing barriers that delay meaningful advancements. For instance, FDA could issue clear guidance stating that patient-facing applications of AI for care coordination, including for health-related social needs, are not software as a medical device. A Regulatory Sandbox could be established to allow developers to test AI-driven healthcare solutions in a controlled environment, ensuring that oversight mechanisms evolve alongside technological advancements. Furthermore, CMS should provide clear guidance on AI governance, including best practices for bias mitigation, data security, and patient privacy protections.

Conclusion

AI and GenAI represent an unprecedented opportunity to modernize Medicare and Medicaid, improve patient and provider experiences, and build a more efficient, effective healthcare system. By acting decisively, the White House and HHS can create the necessary incentives and structures to drive this transformation—positioning both Medicare and Medicaid as leaders in healthcare innovation rather than laggards.

We appreciate your consideration of these recommendations and welcome the opportunity to collaborate on advancing AI-driven solutions for Medicare and Medicaid. Please do not hesitate to reach out for further discussion by email.

Sincerely,

Neil Batlivala
Chief Executive Officer

Nate Favini, MD, MPH
Chief Medical Officer